TAX IMPLICATIONS GUIDE v1.8

1. Capital Gains Tax
Short-term (held < 1 year): Taxed as ordinary income
Long-term (held > 1 year): 0%, 15%, or 20% based on income bracket

2. Dividend Tax
Qualified dividends: Taxed at capital gains rates
Non-qualified dividends: Taxed as ordinary income

3. Tax-Advantaged Accounts
a) Traditional IRA: Tax-deductible contributions, taxed on withdrawal
b) Roth IRA: After-tax contributions, tax-free growth and withdrawals
c) 401(k): Pre-tax contributions, taxed on withdrawal
d) Health Savings Account (HSA): Triple tax advantage

4. Tax-Loss Harvesting
- Sell investments at a loss to offset capital gains
- Can offset up to $3,000 of ordinary income per year
- Beware of wash sale rules (30-day waiting period)

5. Inheritance Tax Considerations
- Step-up in basis for inherited assets
- Estate tax exemption: $11.7 million per individual (2021)
- Annual gift tax exclusion: $15,000 per recipient (2021)

6. Retirement Account Distributions
- Required Minimum Distributions (RMDs) start at age 72
- 10% early withdrawal penalty before age 59½ (with some exceptions)
- Roth conversion ladder strategy for early retirees

7. State-Specific Tax Considerations
- State income tax rates vary (0% to 13.3%)
- Some states have no income tax (e.g., Florida, Texas)
- State-specific deductions and credits
- Community property states vs. common law states

8. International Tax Implications

- Foreign tax credit for taxes paid to other countries
- FATCA reporting requirements for foreign accounts
- Treaty benefits for cross-border investments
- Passive Foreign Investment Company (PFIC) rules

9. Tax Implications for Small Business Owners and Self-Employed
- Schedule C reporting for sole proprietors
- Qualified Business Income (QBI) deduction
- Self-employment tax considerations
- Home office deduction rules

10. Tax-Efficient Withdrawal Strategies in Retirement
- Manage tax brackets with a mix of taxable and tax-free withdrawals
- Roth conversion strategies in low-income years
- Qualified Charitable Distributions (QCDs) from IRAs
- Net Unrealized Appreciation (NUA) strategy for employer stock

11. Alternative Minimum Tax (AMT) Considerations
- Identify AMT trigger items
- Strategies to minimize AMT exposure
- AMT credit carryforward rules

12. Medicare Surtax and Net Investment Income Tax (NIIT)
- 3.8% NIIT on investment income for high earners
- Strategies to reduce NIIT exposure
- Coordination with other tax planning strategies